

Anders's actions woke up Wall Street. General Dynamics' share price in 1991 rose 112 percent. What Anders did next got Buffett's attention.

With the cash holdings, Anders declared that the company would first meet its liquidity needs and then bring down debt to ensure financial strength. After reducing debt, General Dynamics was still generating cash well in excess of its needs. Knowing that adding capacity to a shrinking defense budget did not make sense and that diversification into nondefense businesses invited failure, Anders decided to use the excess cash to benefit shareholders. In July 1992, under the terms of its Dutch auction, General Dynamics purchased 13.2 million shares at prices between \$65.37 and \$72.25, reducing its shares outstanding by 30 percent.

On the morning of July 22, 1992, Buffett called Anders to tell him that Berkshire had purchased 4.3 million shares of General Dynamics. Buffett told Anders that he was impressed with General Dynamics and that he bought the shares for investment purposes. In September, Buffett granted General Dynamics' board a proxy to vote Berkshire's shares so long as Anders remained chief executive.

Tenet: Rationality

Of all Berkshire's common stock purchases, none has caused as much confusion as General Dynamics. It had none of the traditional markings of Buffett's earlier purchases. It was not a company that was simple and understandable, it was not a consistent performer, and it did not have favorable long-term prospects. Not only was the company in an industry that was controlled by the government (90 percent of sales came from government contracts), but that industry was shrinking in size. General Dynamics had pitiful profit margins and below-average returns on equity. Furthermore, its future cash flows were unknown, so how could Buffett determine its value? The answer is that Buffett did not initially purchase General Dynamics as a long-term common stock holding. He purchased it as an arbitrage opportunity, so the usual financial and business requirements did not apply.

"We were lucky in our General Dynamics purchase," Buffett wrote. "I had paid little attention to the company until last summer, when it